Community Merchant Service Node System Whitepaper

This document serves as the foundational institutional framework for the long-term operation of the community, defining:

How community members can become Merchant Service Providers
Why and how merchants establish long-term binding relationships with community members

The sources, distribution, and sustainability of revenue
The sole objective of this system: to ensure that genuine services receive long-term, predictable rewards that cannot be arbitrarily revoked.

Chapter 1 | Background of System Establishment

The essence of a community is not a traffic platform, but a genuine business collaboration network.

In the traditional platform model:

Merchants serve the platform

Users contribute data to the platform

The platform extracts the primary revenue

We choose a different path for this community:Let community members serve merchants directly,Let merchants pay for the community's value cycle,Let the platform only be responsible for rules and settlements.

Thus, the community officially introduces: the Community Merchant Node (CMN) System.

Chapter 2 | Role Definitions

2.1 Community Merchant Node (CMN)

Refers to community members certified by the community with local service capabilities. Core responsibilities include but are not limited to:

Assisting merchants with onboarding

Guiding merchants to publish products/benefits

Helping merchants understand community advertising and exposure rules

Maintaining the long-term operational quality of merchants within the community

A Merchant Service Node is not a salesperson or agent, but a long-term service provider for local commerce.

2.2 Service Merchant (Merchant)

Refers to local physical merchants that have completed genuine certification and operate continuously in the community.
Merchants may voluntarily choose whether to bind with a CMN.
Once bound, both parties form an institutional-level revenue relationship.

Chapter 3 | Binding Mechanism (Core)

3.1 Binding Principles

A merchant may bind with only one CMN
Revenue generated after binding is automatically distributed
No manual intervention by the platform
Binding is not a personal favor, but a system-level contractual relationship.
3.2 Binding Process

The merchant searches for or selects a service provider and initiates a binding application
After confirmation by the service provider, the binding is officially validated in the merchant's backend
The system records the binding relationship permanently
The basic reward and order revenue-sharing cycle begins
3.3 Unbinding and Cooling Period

Either the merchant or the CMN may apply for unbinding
A 30-day cooling period takes effect immediately after unbinding
No rebinding is allowed during the cooling period
Objectives:

Prevent frequent arbitrage behaviors
Protect the stability of long-term service relationships

Chapter 4 | Revenue Source Design (Key)

This chapter quantifies rewards for "Community Promoters / CMNs". All values are institutional parameters – configurable but not subject to arbitrary changes.
To ensure long-term sustainability, rewards are categorized into three types (all distributed in Nectar, directly deposited into the CMN's total Nectar account):
Onboarding Confirmation Reward (One-time)
Consumption Revenue Sharing Reward (Core, Long-term)
Fixed Monthly Revenue
A CMN's revenue does not come from "recruiting members", but from genuine business activities generated by merchants.
4.1 Onboarding Completion Incentive (One-time | Onboarding Threshold)

Objectives:
Cover the promoter's upfront communication and assistance costs
Eliminate arbitrage opportunities for "fake merchant onboarding"
TRIGGER CONDITIONS (All must be met):
The merchant completes genuine certification (business license / store location verification) approved by the system's AI
The merchant lists their first product or benefit on the platform
Reward Rules:
For each successfully onboarded merchant: 20 Nectar (Fixed)
Notes:

This is a symbolic startup incentive
Value design principle: Insufficient for arbitrage, but adequate to cover time costs

4.2 Merchant Consumption Revenue Sharing Incentive (Core | Long-term Income)

This is the most core and irreplaceable revenue source for CMNs.
4.2.1 Revenue Sharing Trigger Events

Revenue sharing is triggered when a user:
Redeems products/benefits with full Nectar at a merchant bound to the CMN,
And the merchant completes the redemption verification.
4.2.2 Basic Revenue Sharing Formula (Consumption-based)

Variable Definition:Hc = The actual amount of Nectar consumed by the user in the single transaction at the merchant
System-set fixed revenue sharing ratio:CMN Consumption Revenue Sharing = Hc × β
Example: A user spends 100 Nectar at a merchant → The CMN receives an immediate reward of 25 Nectar.
4.2.3 Tier Attenuation Mechanism (Prevent Passive Income)

During the same merchant-CMN binding period:
Regular CMN: Revenue sharing ratio (β=25%)
Advanced CMN: Revenue sharing ratio (β=20%)
City Manager: Revenue sharing ratio (β=5%)

Chapter 5 | Reward Summary and Predictable Income Model

This chapter answers the core question:
"What level of long-term earnings can an ordinary community member achieve by serving merchants?"
5.1 Monthly Revenue Example for a Single Merchant (Conservative Model)

Assumptions:
The merchant's monthly Nectar consumption (user spending): 1,000 Nectar
The CMN is in the first 3-month binding cycle with the merchant
Calculation:Consumption Revenue Sharing: 1,000 × 25% = 250 NectarMonthly Revenue per Merchant ≈ 250 Nectar
5.2 Multiple Merchant Synergy Effect

If a CMN serves 10 stable merchants:Monthly Nectar Income ≈ 2,500 Nectar × Current Nectar Value ($0.2913) = Monthly Cash Income $728.2
This income does not rely on new user recruitment,but solely on the normal business operations of the bound merchants.
5.3 Revenue Sharing Distribution Method

All revenue sharing is settled on a 7-day cycle and deposited directly into the CMN's total Nectar account.

Chapter 6 | Malfeasance Prevention and Punishment Mechanism

6.1 Prohibited Behaviors

Fake merchant certification

Fake transaction orders

Fake service records

6.2 Punishment Principles

Once malfeasance is confirmed, the offender will face:

Immediate zero-out of all current cycle revenue

Termination of all existing merchant binding relationships

Permanent blacklisting and account suspension

The community has zero tolerance for malfeasance.

Chapter 7 | Sources of the System's Non-Negotiability

This system is non-negotiable not because of coercion, but because it meets three fundamental criteria:

Revenue comes from genuine business, not user acquisition bubbles

Income has continuous temporal stability

Rules are transparent, predictable, and include a clear exit mechanism

A CMN is not an employee of the platform, but an operator of their own "local commercial service asset".

Chapter 8 | Conclusion

The Bitcoin Federation Community does not promise get-rich-quick schemes, but we do solemnly promise:Every genuine service will never be erased by the system; Every long-term value created will continue to reward those who created it.
This is the official release version of the system. Any subsequent revisions may only be made through the community governance process.

Bitcoin Federation Community Governance Committee
03/15/2026